

DID YOU KNOW that India has more than 1,100 individuals across 122 cities with a wealth of more than ₹1,000 crore each? Or that more than 600 of them—including 149 new faces—saw their wealth stay the same or increase in 2022? These are just two of the many interesting insights thrown up by the IIFL Wealth Hurun India Rich List 2022, which also showed that overall wealth is on the rise, and there is no dearth of wealthy individuals in the country.

With the overall increase in wealth and the number of wealthy people, a corresponding rise in the demand for wealth management services could not be far behind; in fact, the past few years have shown that an increasing number of wealthy people—high net-worth individuals or HNIs—are opting for professional money management services. But these HNIs are not approaching just any money manager. They are seeking the services of specialists—those whose skill sets include dealing with a large corpus of money.

These professionals offer portfolio management services (PMS)—wherein an expert/experts manage and grow the wealth using various financial instruments. PMS is fast gaining traction as the go-to destination for wealthy individuals looking for higher returns, as these fund managers generate alpha—returns over the benchmark—while providing bespoke investment schemes. The numbers corroborate the trend: the total assets under management (AUM) of these fund managers have jumped from ₹10.45 lakh crore in FY16 to nearly ₹28 lakh crore in FY23, per data from capital markets regulator Securities and Exchange Board of India (Sebi). More importantly, the number of investors availing the services of PMS firms—though a fraction of mutual funds (MF) investors—has also increased from 52,288 in FY16 to nearly 144,000 in FY23. This assumes significance as while the rise in AUM can be attributed to rising stock prices and valuations, the jump in client numbers clearly shows that many HNIs are looking for PMS products to enhance their wealth.

The modus operandi at a PMS firm is fairly simple. A fund manager manages a portfolio of stocks—typically with 20 to 30 stocks—as part of a scheme or portfolio designed around themes like value investing, growth stocks or entrepreneurship. While PMS may appear similar to MFs, a key difference between them is that one can invest as low as ₹500 in an MF, while the minimum investment for a PMS is ₹50 lakh, as mandated by the markets regulator. “PMS is not exactly a mass product. It is for those who have generated wealth or are in the process of generating wealth. The

MINTING MONEY

▶ **PORTFOLIO MANAGEMENT SERVICES MANAGE THE WEALTH OF HIGH NET-WORTH INVESTORS (HNIs), WHERE THE MINIMUM INVESTMENT TICKET SIZE IS ₹50 LAKH**

▶ **MOST PMS SCHEMES HAVE A CURATED PORTFOLIO OF 20 TO 30 STOCKS**

▶ **PORTFOLIO MANAGERS TRY TO GENERATE ALPHA THROUGH ACTIVE FUND MANAGEMENT**

▶ **THE NUMBER OF PORTFOLIO MANAGERS HAS MORE THAN DOUBLED IN THE PAST SEVEN YEARS**

▶ **THE REGULATIONS INTRODUCED BY SEBI IN 2020 HAVE ENHANCED DISCLOSURES AND TRANSPARENCY, CREATING A FRAMEWORK FOR PMS TO GROW**

